S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276582; SPCIQ KEY: 877906; TCUID: 53221)

Public

Year: Methodology Year: 2023
Question: Material Issues for Enterprise Value Creation
Include Modeled Scores : Yes

Material Issues for Enterprise Value Creation

Question

Does the company report the three most important material issues (economic, environmental, or social) that have the greatest impact on its business and how these issues impact the business and serve as significant determinants of long-term value creation?

Rationale

Leading companies are increasingly focusing on the most material topics that drive their long-term value creation. These issues can cover economic, environmental, and social issues, and they are key drivers for a company's long-term business performance. The question assesses whether companies have conducted a materiality analysis of the most important issues driving long-term value creation and whether they are able to convincingly link these issues to their business performance.

Companies are asked to make a business case and therefore should focus on those economic, environmental, or social issues that are most important or impactful for the business performance of the company. Companies should indicate which of the three value drivers are impacted by these issues (revenues, costs, or risk), and what strategies, products, or initiatives the company has that are linked to these issues. In order to ensure that the company is managing its performance in relation to these issues over the long term, the question asks which long-term targets/metrics the company uses to measure its performance over time and whether the company has linked its executive compensation to these issues.

Performance Summary	
Question Level Company Performance	50
Question Weight	25
Year-on-Year Change	(17)
Industry Average Score	46
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Material Issue: A material issue is a sustainability factor that can have a present or future impact on the company's value drivers, competitive position, and therefore on long-term shareholder value creation.

Materiality Assessment: A materiality assessment is an approach to identify critical economic, environmental, and social issues which have a significant impact on the company's business performance.

Materiality Assessment Frequency: We expect companies to conduct a materiality assessment at least every 5 years and to report the results in at least one of the two most recent Annual or Sustainability reports.

Data Requirements

1. Material Issue

Our expectations:

- Companies have conducted a materiality analysis and identified the most important issues driving long-term performance.
- Companies clearly define the three most material economic, environmental, or social issues driving long-term value creation.

Not acceptable:

- Purely financial metrics/issues (net profit, cash flow, earnings per share, product sales).
- Operational business metrics/issues (e.g. market expansion, efficient use of capital, operational excellence).
- General issues without a description of the specific sub-issues that might impact the company's performance (e.g. macroeconomic conditions, long-term shareholder value).

Please note that companies that do not provide an acceptable material issue do not receive points for any of the sub-questions related to that material issue.

2. Business Case

Our expectations:

The business case should contain the following information:

- A clear link between the material issue and the business case.
- Clear explanation of why the issue is material to the company's performance in terms of cost/revenue/risk (e.g. cost savings, revenue generation, operational risks with direct impact on financial performance).

Not acceptable:

- The business case is not linked to the material issue.
- The Business case does not link the material issue to the company's performance in terms of costs, revenues, or risks.
- The business case is describing the material issue and its importance for society / the environment but does not provide information on why the issue is relevant to the company's performance (e.g. impact of global warming on society).

3. Business Strategies

Our expectations:

- The company provides a clear explanation of the strategies, initiatives, or products or services through which it addresses the material issue.

Not acceptable:

- Strategies, initiatives, or products or services that do not directly address the material issue.
- Strategies that are not clearly described (e.g. human resources-oriented management).
- Description of the current situation without providing the strategies or products to address this situation.
- Provision of a target instead of a strategy, initiative, or product (e.g. zero fatalities or injuries).

Disclosure Requirements

- The document(s) you attached will be used to verify your response.
- The supporting documents need to be available in the public domain.
- Any response that cannot be verified in the attached public document(s) or web link will not be accepted.

Standards & Frameworks

GRI Disclosure - 3-2

WEF Metrics - Material issues impacting stakeholders

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Yes, our company publicly reports on materiality analysis conducted to identify key issues for long-term value creation.	Applicable
Category of Material Issue 1	Customer Relationship Management
Category of Material Issue 2	Product / Service Quality & Safety
Category of Material Issue 3	Responsible Marketing & Labelling
Impact of Material Issue 1 on business (cost/revenue/risk)	Not answered
Impact of Material Issue 2 on business (cost/revenue/risk)	Not answered
Impact of Material Issue 3 on business (cost/revenue/risk)	Not answered
Business Case / Rationale for Material Issue 1	-
Business Case / Rationale for Material Issue 2	-
Business Case / Rationale for Material Issue 3	-
Business strategies, initiatives, or products to address Material Issue 1	YES
Business strategies, initiatives, or products to address Material Issue 2	YES
Business strategies, initiatives, or products to address Material Issue 3	YES
Name of material issue 1	Consumer experience
Name of material issue 2	Product safe and quality
Name of material issue 3	Communication and responsible labelling

Questionnaire

Does your company publicly report analysis to identify the most important material issues (economic, environmental, or social) for your company's performance? Please indicate the three material issues that have the greatest impact on your business and its generation of long-term value. Do you also publicly report on how these issues impact your business and serve as significant determinants of long-term value creation.

1. (•)

Yes, our company publicly reports on materiality analysis conducted to identify key issues for long-term value creation.

	Material Issue 1	Material Issue 2	Material Issue 3
Material Risk or Opportunity	Consumer experience	Product safe and quality	Communication and res
Please specify the material risk or opportunity impacting your business:	Please select the category your material issue belongs to: Customer Relationship Management	Please select the category your material issue belongs to: Product / Service Quality & Safety	Please select the category your material issue belongs to: Responsible Marketing & Labelling
	1. ☐	1. ☐	1. ☐
Business Case			
Please provide a brief rationale for why this issue is material to your business:	We report our business case for this material issue:	We report our business case for this material issue:	We report our business case for this material issue:
Business Impact			
Please select the type of impact this material issue has on your business (cost/revenue/risk):	Please select	Please select	Please select
Business strategies	1. ☑	1. ☑	1. ☑

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	Please specify your primary business strategies, initiatives or products that address this issue:	Yes, we describe our strategy for addressing the impact on the business:	Yes, we describe our strategy for addressing the impact on the business:	Yes, we describe our strategy for addressing the impact on the business:
2.	No, we have not defined any material issues for our company.			
3.	Not applicable. Please provide explanations in the comment box below.			

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.